

**Before the
FEDERAL MARITIME COMMISSION**

DOCKET NO. 25-31

Nielsen & Bainbridge, LLC

v.

Orient Overseas Container Line Limited and OOCL (Europe) Limited

VERIFIED ANSWER TO VERIFIED COMPLAINT IN DOCKET NO. 25-02

Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively “Respondents” or “OOCL”) answer the Verified Complaint of Complainant Nielsen & Bainbridge, LLC (“Complainant” or “NBG”) as follows with reference to the paragraph numbers in the Verified Complaint (“Complaint”) in Docket No. 25-02, served on January 8, 2025.¹

¹ This Complaint was originally docketed as FMC Docket No. 25-02, alleging violations of the Shipping Act by Orient Overseas Container Line Limited and OOCL (Europe) Limited (“OOCL” or “Respondents”), as well as against Ocean Network Express PTE, LTD, Evergreen Line Joint Service Agreement (FMC#011982), Evergreen Marine Corporation (Taiwan) Ltd., Evergreen Marine (UK) Limited, Italia Marittima SpA, Evergreen Marine (Hong Kong) Ltd., Evergreen Marine (Singapore) PTE LTD, and Yang Ming Marine Transport Corporation. On January 23, 2025, Respondents moved to sever the allegations against it into a separate matter and on December 31, 2025, the Presiding Officer ordered the Commission’s Secretary to designate NBG’s complaint against OOCL as Docket No. 25-31, as captioned above. The December 31, 2025, Order also required OOCL to respond to the Verified Complaint as it was filed in Docket No. 25-02 by January 13, 2025, but did not require NBG to amend the 25-02 Complaint. OOCL thus responds, as instructed by the Presiding Officer, to facts alleged in the Verified Complaint as it was originally served in Docket No. 25-02 that do not relate to assertions of fact relevant to OOCL as “not applicable.” Respondents have prepared this Verified Answer according to those instructions.

ANSWERS TO COMPLAINANT'S NUMBERED ALLEGATIONS

1. Complainant Nielsen & Bainbridge, LLC, on behalf of itself and its subsidiaries and affiliates (collectively "NBG" or "Complainant") 1, brings this Verified Complaint (the "Complaint") against respondents Ocean Network Express Pte. Ltd. ("ONE") Orient Overseas Container Line Limited, OOCL (Europe) Limited (together with Orient Overseas Container Line Limited, "OOCL"), Evergreen Line Joint Service Agreement (FMC#011982) (the "Evergreen Line Joint Service Agreement"), Evergreen Marine Corp. (Taiwan) Ltd. ("Evergreen Taiwan"), Evergreen Marine (UK) Limited ("Evergreen UK"), Italia Marittima SpA ("Italia"), Evergreen Marine (Hong Kong) Ltd. ("Evergreen Hong Kong"), Evergreen Marine (Singapore) Pte. Ltd. ("Evergreen Singapore" and, collectively with the Evergreen Line Joint Service Agreement, Evergreen Taiwan, Evergreen UK, Italia, and Evergreen Hong Kong, "Evergreen" 2), and Evergreen Line Joint Service Agreement (together, "Evergreen"), and Yang Ming Marine Transport Corporation ("Yang Ming" and, collectively with ONE, OOCL, Evergreen, and Yang Ming, the "Respondents").

ANSWER: Respondents admit that Complainant filed the Complaint but asserts that OOCL are the only Respondents remaining in this proceeding. To the extent Paragraph 1 of the Complaint mentions or asserts information with respect to respondents other than Orient Overseas Container Line Limited or OOCL (Europe) Ltd., Respondents responds, as instructed by the Presiding Officer, “not applicable.” Otherwise, denied.

2. Complainant brings this Complaint pursuant to 46 U.S.C. Section 41301 to seek reparations for injuries to Complainant caused by Respondents' violations of the Shipping Act of 1984, as amended, 46 U.S.C. Sections 40101 et seq. (the "Shipping Act"), alleged herein.

ANSWER: Respondents admit that Complainant filed a Complaint and that it referenced 46 U.S.C. Section 41301, Respondents otherwise deny the allegations of Paragraph 2.

3. The COVID-19 pandemic caused unprecedented challenges to trade and the global economy. During these difficult times, as alleged herein, Respondents took advantage of price inflation and congestion issues in the container shipping sector and unfairly exploited their customers. Consequently, Respondents' profits surged considerably, while shippers and the broader public in the United States had to shoulder the increased freight costs in the form of cost surges and inflation. This profiteering was particularly damaging to Complainant, which was forced to file a Chapter 11 bankruptcy petition on February 8, 2023. In NBG's first day declaration filed in support of its bankruptcy, both "supply chain disruption" and "elevated freight costs (nearly 400% at peak compared to historic norms)" were described as contributing factors limiting NBG's "ability to continue operating in the ordinary course without a significant recapitalization through these chapter 11 cases."

ANSWER: Respondents deny the allegations of Paragraph 3 as to OOCL, except that Respondents admit the first sentence of Paragraph 3. Otherwise, not applicable.

4. First, as alleged herein, the Respondents have engaged in a practice of systematically failing to meet their respective service commitments to Complainant and, upon information and belief, other shippers. Complainant entered into Service Contracts with each Respondent (collectively, the "2020 Service Contracts") for the period May 1, 2020 through April 30, 2021 (the "2020--2021 shipping year"). Complainant also entered into service contracts with Respondents ONE, OOCL, and Evergreen (collectively the "2021 Service Contracts" and, collectively with the 2020 Service Contracts, the "Service Contracts") for the period May 1,

2021 through April 30, 2022 (the "2021-2022 shipping year"). As described further herein, each of the Service Contracts specified minimum quantity commitments ("MQCs") of cargo to be shipped and corresponding service commitments by each respective Respondent to provide vessel space sufficient to carry those MQCs. Upon information and belief, however, instead of honoring their respective service commitments to Complainant under the Service Contracts, the Respondents systematically failed to meet those service commitments and, on information and belief, sold Complainant's bargained-for space at higher rates for cargo from other shippers to maximize their own profits. As a result, Complainant had to obtain space on the spot market at enormous expense during a period of unprecedented high spot prices, or else forgo making such shipments.

ANSWER: Not applicable to the extent Paragraph 4 refers to respondents in other proceedings. As to OOCL, Respondents deny the allegations of Paragraph 4, except admit that Respondents and Complainant entered into service contracts in the years specified.

5. The Federal Maritime Commission (the "FMC" or "Commission") has recognized the unlawful nature and broad impact of such practices. For example, in *MCS Industries, Inc. v. COSCO SHIPPING Lines Co., Ltd. and MSC Mediterranean Shipping Company SA*, FMC Docket No. 21-05-the FMC's Chief Administrative Law Judge found, in a decision unanimously affirmed by the Commission itself, that the Shipping Act violations alleged against a respondent in that case, which parallel the Respondents' practices of failing to meet their service commitments to Complainant as alleged herein, "are of national significance, for example, that one of the largest container lines in the world 'sought to take advantage of unprecedented high pricing by forcing shippers with service contracts, like Complainant, to

resort to spot market purchases' by the 'practice of systematically failing to meet its quantity commitments”

ANSWER: Paragraph 5 consists of legal argument, to which no response is necessary.

To the extent a response is required, Respondents deny the allegations of Paragraph 5.

6. Second, the Respondents' misconduct alleged herein was not limited to their practice of flouting their respective service commitments. Respondents also engaged in a practice of coercing Complainant, and, upon information and belief, other shippers, to pay extracontractual prices and surcharges, including Peak Season Surcharges ("PSS"), as a precondition to the Respondents meeting even a portion of their respective service commitments under the relevant Service Contracts.

ANSWER: Not applicable to the extent it refers to carriers other than OOCL; denied to the extent it refers to OOCL.

7. Third, upon information and belief, during the 2020--2021 and 2021-2022 shipping years, at least a substantial majority of the demurrage and detention charges (the "Charges") assessed by the Respondents and paid by Complainant were assessed for periods of time in which Complainant's ability to pick up containers at the ports, or return empty containers promptly, was constrained due to circumstances outside the control of Complainant, such as port congestion and shortage of equipment.

ANSWER: Not applicable to the extent it refers to carriers other than OOCL; denied to the extent it refers to OOCL.

8. Upon information and belief, Respondents' practices were knowing and deliberate, and were not due to an absence of available cargo space or necessitated by any other circumstance outside of Respondents' control.

ANSWER: Not applicable to the extent it refers to carriers other than OOCL; denied to the extent it refers to OOCL.

9. Upon information and belief, Respondents have profited greatly from the conduct alleged herein [references to other carriers omitted]. b. OOCL reported unprecedented profits during the COVID-19 pandemic: In Respondent's 2021 Full Year Results, OOCL announced that "[o]ur results for 2021, which include the highest ever revenue, liftings and profit figures for our core container shipping and logistics business, surpassed even the outstanding outcome for 2020. The financial results were achieved in a context that is entirely without precedent." OOCL recorded an operating profit of \$7.380 billion in 2021, an increase of approximately 644% from the previous year. These profit results represent an exorbitant jump from the \$0.361 billion realized in operating profits by OOCL during the pre-pandemic fiscal year 2019. Respondents gained immense wealth in 2021 and 2022 while simultaneously injuring NBG and other shippers through the conduct alleged herein.

ANSWER: Respondents deny the allegations of Paragraph 9 as they relate to OOCL, except Respondents admit that the that Respondents' operating profit in 2019 was US\$361M; that Respondents' operating profit in 2020 was US\$992M; and that Respondents' operating profit in 2021 was US\$7380M, and admit that the quoted language in subparagraph (b) reflects statements made by Respondents in a press release dated March 25, 2022 available at <https://www.oocl.com/eng/pressandmedia/pressreleases/2022/Pages/25Mar2022.aspx> (last visited January 6, 2026).

10. Respondents' profitability has come at the direct expense of businesses and consumers in the United States. During the COVID-19 pandemic, many companies, similar to Complainant,

faced severe pressure from freight costs and "could potentially go bankrupt because of the current situation with extremely high freight rates" as described by one maritime commentator and industry consultant. That same commentator further stated that "[i]f the situation ends up not lasting long, most will be able to hold their breath and weather the storm. But the longer it lasts, the more will end up in a situation they're unable to manage." The contemporary impacts of increased freight costs across the entire shipping industry were devastating to shippers' businesses.

ANSWER: Not applicable as to carriers other than OOCL. As to OOCL, Respondents deny the first sentence of Paragraph 10, and lack information sufficient to admit or deny the balance of Paragraph 10; to the extent a response is required, denied.

11. Profiteering by container lines injures not only shippers but the entire consumer public, in the form of inflation. In the aftermath of the pandemic, inflation rose to crisis levels and led to extreme fiscal tightening in the form of increased interest rates, while global ocean carriers reported windfall profits. Indeed, the International Monetary Fund released an Analytical Series report on January 24, 2023 indicating that "[t]he 2021 surge in global shipping costs was a canary in the coal mine for the persistent rise in inflation" and that "[g]iven the actual increase in global shipping costs during 2021, we estimate that the impact on inflation in 2022 was more than 2 percentage points-a huge effect that few central banks would dismiss."

ANSWER: Respondents deny the allegations of Paragraph 11, except admit that the language quoted in Paragraph 11 is taken from an article written by John D. Ostry, appearing in F&D Magazine, International Monetary Fund (January 24, 2023).

12. Respondents have also greatly benefited by organizing themselves, along with other major non-U.S. shipping lines, into collusive "alliances" at the expense of shippers. Upon information and belief, the members of the three global alliances-i.e., the "Ocean Alliance", which comprises COSCO SHIPPING Lines Co., Ltd. ("COSCO"), CMA CGM S.A. ("CMA"), Respondent OOCL, and Respondent Evergreen; and the "THE Alliance", which comprises Hapag Lloyd AG ("Hapag"), carrier HMM Company Limited ("HMM"), Respondent ONE, and Respondent Yang Ming-collectively control over 80 percent of the global capacity.

ANSWER: Not applicable as to carriers other than OOCL. As to OOCL, Respondents deny the allegations of Paragraph 12.

13. Respondents' conduct alleged herein with respect to the receipt, handling, storage, and/or delivery of the property of Complainant and, upon information and belief, of other shippers, occurred on a normal and customary basis.

ANSWER: Not applicable as to carriers other than OOCL. As to OOCL, Respondents deny the allegations of Paragraph 13.

14. The claims brought herein are timely pursuant to tolling agreements agreed to by the parties.

ANSWER: Respondents admit that they and Complainant entered into a tolling agreement, but deny that this necessarily makes all of Complainant's claims timely.

15. Accordingly, pursuant to 46 U.S.C. Section 41301, Complainant brings this Complaint seeking reparations for injuries caused by Respondents' violations of the Shipping Act, as alleged herein.

ANSWER: Respondents deny the allegations of Paragraph 15, except admit that Complainant filed a Complaint.

16. Complainant Nielsen & Bainbridge, LLC is a limited liability company existing under the laws of Delaware with a mailing address: 56 Harrison Street, Suite 203A, New Rochelle, New York 10801, reachable via telephone via (914) 235-1075, and via its undersigned counsel's telephone numbers and email addresses listed below. Complainant, along with its aforementioned subsidiaries and affiliates, formerly conducted business, and is generally referred to, as "NBG Home". Complainant was a "shipper" as that term is defined by 46 U.S.C. Section 40102(23).

ANSWER: Respondents deny that Complainant was a “shipper” within the definition of the Shipping Act and otherwise lacks information sufficient to admit or deny the allegations of Paragraph 16; to the extent a response is required, denied.

[Paragraphs 17 and 18 of the Complaint are not applicable.]

19. Upon information and belief, Respondent Orient Overseas Container Line Limited is a company existing under the laws of Hong Kong with its principal place of business located at 25 Harbour Road, 31st Floor Harbour Centre, Wanchai, Hong Kong, acting in the United States by and through its agent, OOCL (USA) Inc. ("OOCL (USA)"), a company existing under the laws of the State of New York with its principal place of business located at 10913 South River Front Parkway, Suite 200, South Jordan, Utah, 84095, and is a vessel-operating "ocean common carrier" as that term is defined by 46 U.S.C. Section 40102(18) with FMC organization number 011398. Respondent OOCL also is a "controlled carrier" of the People's Republic of China as that term is defined by 46 U.S.C. Section 40102(9).

ANSWER: Respondents admit the allegations of Paragraph 19, except Respondents do not understand the meaning of the phrase “by and through” and clarify that only OOCL, not OOCL (USA), is an ocean common carrier.

20. Upon information and belief, Respondent OOCL (Europe) Limited is a company existing under the laws of the United Kingdom with its principal place of business located at OOCL House, Levington Park, Bridge Road, Levington Suffolk, IP10 ONE, United Kingdom, acting in the United States by and through its agent, OOCL (USA), and is a vessel-operating "ocean common carrier" as that term is defined by 46 U.S.C. Section 40102(18) with FMC organization number 024786. Respondent OOCL (Europe) Limited also is a "controlled carrier" of the People's Republic of China as that term is defined by 46 U.S.C. Section 40102(9).

ANSWER: Respondents admit the allegations of Paragraph 20, except Respondents do not understand the meaning of the phrase “by and through” and clarify that only OOCL (Europe) Limited, not OOCL (USA), is an ocean common carrier.

21. Upon information and belief, Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited are both wholly owned subsidiaries of Orient Overseas (International) Limited ("OOIL"), which itself is majority owned and controlled by COSCO SHIPPING Holdings Co. Ltd., which also owns fellow OCEAN Alliance member COSCO SHIPPING Lines Co., Ltd. ("COSCO"). COSCO is itself a vessel-operating "ocean common carrier" as that term is defined by 46 U.S.C. Section 40102(18) with FMC organization number 015614. COSCO is also a "controlled carrier" of the People's Republic of China as that term is defined by 46 U.S.C. Section 40102(9).

ANSWER: Respondents admit that they are owned by Orient Overseas (International) Limited ("OOIL"), which is majority owned and controlled by COSCO SHIPPING Holdings Co. Ltd. The references in the first sentence to COSCO Shipping Lines, Ltd.

is not applicable. The last two sentences of Paragraph 21 are not applicable as they do not pertain to Respondents.

22. Upon information and belief, Respondents Orient Overseas Container Line Limited, OOCL (Europe) Limited, and OOCL (USA) Inc. acted jointly in the conduct alleged herein with respect to Complainant and, upon information and belief, other shippers, and therefore are referred to herein collectively as "OOCL."

ANSWER: Respondents deny the allegations of Paragraph 22.

[Allegations 23 – 31 relate to carriers other than OOCL and thus are not applicable.]

32. The FMC has subject-matter jurisdiction over this Complaint pursuant to the Shipping Act and, in particular, 46 U.S.C. Sections 41301 et seq.

ANSWER: Respondents deny the allegations of Paragraph 32.

33. The FMC has personal jurisdiction over each of the Respondents as an "ocean common carrier", as that term is defined by 46 U.S.C. Section 40102(18), that has entered into a "service contract", as that term is defined by 46 U.S.C. Section 40102(21), with Complainant.

ANSWER: Not applicable as relating to carriers other than OOCL. As to OOCL, denied except Respondents admit that they are ocean common carriers.

34. By definition, the Respondents' Service Contracts with Complainant required the Respondents to "commit[] to a certain rate or rate schedule and a defined service level, such as assured space, transit time, port rotation, or similar service features."

ANSWER: Respondents admit that they entered into service contracts with Complainant's predecessor company in compliance with the requirements of the

Shipping Act and the regulations of the Federal Maritime Commission. Otherwise denied or not applicable.

35. The Respondents' practices alleged herein of systematically failing to meet their service commitments constitute a failure by the Respondents to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainant and, upon information and belief, other shippers, in violation of 46 U.S.C. Section 41102(c).

ANSWER. Not applicable as to other carriers. Denied as to OOCL.

36. The Respondents' practices alleged herein of systematically failing to meet their respective service commitments also constitute the provision of service in the liner trade that was not in accordance with the rules and practices contained in their respective Service Contracts with Complainant, in violation of 46 U.S.C. Section 41104(a)(2)(A).

ANSWER Not applicable as to other carriers. Denied as to OOCL.

37. The Respondents' practices alleged herein of coercing premium pricing and extracontractual surcharges from Complainant by conditioning performance of their respective existing service commitments on the payment of premium prices and extracontractual surcharges constitute a failure by the Respondents to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainant and, upon information and belief, other shippers, in violation of 46 U.S.C. Section 41102(c).

ANSWER Not applicable as to other carriers. Denied as to OOCL.

38. The Respondents' practices alleged herein of coercing premium pricing and extracontractual surcharges from Complainant by conditioning performance of their respective existing service commitments on the payment of premium prices and extracontractual surcharges also

constitute the provision of service in the liner trade that was not in accordance with the rules and practices contained in Respondents' Service Contracts with Complainant, in violation of 46 U.S.C. Section 41104(a)(2)(A).

ANSWER: Not applicable as to other carriers. Denied as to OOCL.

39. The Respondents' actions alleged herein further constitute unreasonable refusals to deal or negotiate with Complainant, in violation of 46 U.S.C. Section 41104(a)(10).

ANSWER: Not applicable as to other carriers. Denied as to OOCL.

40. The Respondents' assessment of the Charges or a substantial majority thereof and the alleged acts or omissions of Respondents that led to the assessment of such Charges constitute failures by Respondents to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainant, in violation of 46 U.S.C. Section 41102(c) and the FMC's Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 Fed. Reg. 29638 (May 18, 2020) (partially codified at 46 C.F.R. Section 545.5) (the "Interpretive Rule"), and in particular the Incentive Principle articulated in the Interpretive Rule.

ANSWER: Not applicable as to other carriers. Denied as to OOCL.

41. The Respondents' assessment of the Charges or a substantial majority thereof and the alleged acts or omissions of Respondents that led to the assessment of such Charges also constitute violations of 46 U.S.C. Section 41104, including in particular 46 U.S.C. Section 41104(a)(10)'s prohibition on unreasonable refusals to deal or negotiate and 46 U.S.C. Section 41104(a)(14).

ANSWER: Not applicable as to other carriers. Denied as to OOCL.

42. By tonnage, about 70% of all U.S.-international trade moves by water through U.S. ports.

From 2019 to 2022, there was a sustained increase in containerized imports to most U.S. ports as compared to pre-pandemic levels. In late 2021 and early 2022 in particular, the number of container ships waiting to dock at a U.S. port more than doubled, peaking at more than 150 in early February 2022. Across all major U.S. ports, the supply chain crunch was driven by a confluence of pandemic-related disruptions, including labor shortages, increased consumer demand, and infrastructure inadequacies, with self-serving business practices by ocean carriers, marine terminals, and other supply chain participants. In that environment, soaring freight rates became the norm. The consolidation of the shipping industry further aggravated the situation, as carriers and carrier alliances prioritized profits over service reliability, leaving shippers and exporters to bear the brunt of the crisis while the carriers, under the guise of limited supply and congestion, raked in historic, unprecedented profits.

ANSWER: Not applicable as to other carriers. Denied as to OOCL. OOCL further lacks information sufficient to admit or deny the specifics of the first three sentences of Paragraph 42; to the extent a response is required, denied.

43. The Ports of Los Angeles and Long Beach, California, which together handled nearly 40% of U.S. imports, experienced severe congestion throughout 2021 and early 2022. This congestion, driven by high consumer demand, the early Lunar New Year, and the ongoing effects of the COVID-19 pandemic, led to significant delays in unloading and moving cargo. By late 2021, the twin ports were overwhelmed, with 87 vessels waiting offshore due to record import volumes driven by post-pandemic consumer demand. The number of vessels waiting offshore grew to as many as 141 earlier in the same year. In an effort to alleviate

container yard congestion, the city of Long Beach implemented temporary measures such as allowing container stacks to double in height. Despite these efforts, the situation deteriorated. Between 2020 and 2022, the Port of Los Angeles experienced notable fluctuations in container volumes, measured in twenty-foot equivalent units ("TEU"s), compared to the pre-pandemic period of 2017 to 2019. During the prepandemic years, the port consistently handled around 9.3 to 9.5 million TEUs annually, however, 2021 saw a dramatic increase, with the port processing a record high of about 10.7 million TEUs, reflecting a significant surge in activity. By 2022, volumes slightly declined to approximately 9.9 million TEUs but remained higher than the pre-pandemic averages, indicating a sustained increase in activity despite the easing of pandemic-related disruptions.

ANSWER: Respondents lack information sufficient to admit or deny the allegations of Paragraph 43; to the extent a response is required, denied.

44. The Port of Oakland, California also faced severe congestion throughout 2021. Carrier Maersk warned in a May 26, 2021 customer advisory that, although the Port of Los Angeles and Long Beach "remain strained with vessel wait times averaging between one to two weeks", "the situation is even more dire at the Port of Oakland, where wait times now extend up to three weeks." In June 2021, the Port of Oakland reported significant increases in cargo volume, reaching an all-time high of handling the equivalent of 1.08 million 20-foot containers from January through May 2021, driven by a 26% rise in imports in May compared to the previous year. Bryan Brandes, the Maritime Director of the Port of Oakland, highlighted the unprecedented challenges, citing both record cargo volumes at U.S. West Coast ports and disruptions at the Port of Yantian in China due to a COVID-19 outbreak there.

ANSWER: Respondents lack information sufficient to admit or deny the allegations of Paragraph 44; to the extent a response is required, denied.

45. At the Port of New York and New Jersey, the busiest container port on the U.S. East Coast, pandemic disruptions also resulted in a significant strain on operations, as the terminals struggled to handle increased import volumes. COVID-19's effects on the workforce further exacerbated congestion issues, with Sam Ruda, Director of the Port Authority of New York and New Jersey, stating "[w]e have seen a spike in the number of labour[ers] going out into quarantine". Vessels queued for extended periods, and the limited storage capacity caused a ripple effect, including mounting demurrage and detention charges for shippers. Increased waiting times for container ships and labor shortages caused by initial COVID-19 pandemic reductions led to further delays. The overall impact on the port was significant, with cargo volumes reaching 8.12 million TEUs by the end of November 2021, compared to 7.47 million TEUs for the entire year of 2019. In early January 2022, the Port of New York and New Jersey faced an unusual backlog of container ships anchored off Long Island, resulting from a surge in cargo volumes combined with a spike in COVID-19 cases among dockworkers, leading to increased quarantine rates. Consequently, the average wait time at anchorage for container carriers rose from 1.6 days for all of 2020 to 4.75 days in the final week of 2021. In May 2022, the Port of New York and New Jersey, was still experiencing significant congestion due to a surge in cargo volumes. The average number of container ships waiting to dock reached 14 per day, the highest since the onset of the Covid-19 pandemic.

ANSWER: Respondents lack information sufficient to admit or deny the allegations of Paragraph 45; to the extent a response is required, denied.

46. The Port of Savannah, Georgia, a major logistics hub for the southeastern United States, experienced some of the longest vessel queues in its history during the 2021-2022 period, with at times more than 40 ships anchored offshore waiting to unload. Port leaders reported that ongoing congestion and labor challenges at West Coast ports "caused shippers to redirect cargo to the East Coast, [and] a lot of that has come to Savannah", which saw a significant increase in redirected shipments as a result. As of October 2021, almost 80,000 shipping containers had been left at the Port of Savannah as they waited to be delivered either to their final destinations or to warehouses that were already filled to the brim.

ANSWER: Respondents lack information sufficient to admit or deny the allegations of Paragraph 46; to the extent a response is required, denied.

47. Secondary ports across the United States, including those along the coast of the Gulf of Mexico and smaller ports on the Atlantic Ocean, experienced varying degrees of strain as 16 shippers sought alternatives to congested major ports. The ripple effects of diverted cargo flow often overwhelmed these smaller ports, which lacked the same level of infrastructure and operational capacity. This dynamic highlighted the interconnectedness of the national port system and the critical need for a more resilient and flexible logistics network to manage future disruptions.

ANSWER: Respondents lack information sufficient to admit or deny the allegations of Paragraph 47; to the extent a response is required, denied.

48. For example, during the supply chain crisis, the Port of Houston, Texas became increasingly significant due to its central role in Gulf Coast logistics. While it initially avoided the extreme congestion seen on the coasts, once the "East Coast's big ports became too busy, shippers began to send more containers to Houston instead" and by "January 2022, Houston

saw a 27 percent rise in containerized traffic year-on-year, leading to a shortage of space."

There was no sign of slowdown throughout 2022. In October 2022, the "container volume at Port Houston once again grew by double digits, continuing the trend seen throughout 2022. A total of 371,994 TEUs were handled during the month, a 13% increase compared to October 2021." These difficulties strained its infrastructure, highlighting the cascading effects of the national supply chain disruptions.

ANSWER: Respondents lack information sufficient to admit or deny the allegations of Paragraph 48; to the extent a response is required, denied.

49. The Northwest Seaport Alliance, which includes the Ports of Seattle and Tacoma, Washington was similarly affected during the crisis. In October 2021, "[w]ith congestion spreading to other ports across the United States [certain carriers] announced that they will be omitting calls in Seattle due to the mounting delays at the port." Additionally, "Hamburg-based Hapag-Lloyd also announced that it would omit Seattle on at least four sailings of its Pacific North Loop 3 service from Nov. 8 onward, calling on Oakland in the meantime." These ports were critical nodes in the supply chain on trade routes between the United States and Asia, but were also vulnerable to the same systemic pressures as Los Angeles and Long Beach. The surge "led to stalls in the supply chain as ports struggled to keep up with a throng of ships, rail and truck traffic waiting to load and unload containers full of goods."

ANSWER: Respondents lack information sufficient to admit or deny the allegations of Paragraph 49; to the extent a response is required, denied.

50. Ocean freight industry experts noted that, during the pandemic, Respondents and other ocean carriers engaged in concerted, coordinated, and/or parallel activity to restrict capacity in order to avoid taking volume from one another and to keep prices high. As the pandemic

disruptions continued to reverberate through the supply chain, Respondents operated in parallel, assessing increasing premium prices and surcharges and failing to meet their contractual MQC commitments to force their customers onto the much more lucrative spot market (in which they themselves were participating).

ANSWER: Not applicable as to other carriers. Denied as to OOCL.

51. As stated above, the Respondents organized themselves, along with other major non-U.S. shipping lines, into collusive global "alliances."

ANSWER: Not applicable as to other carriers. Denied as to OOCL.

52. In addition to forming these "alliances" with other carriers that the Respondents formerly would have competed against in the global shipping market for customers, the Respondents and other ocean carriers have increased their respective and combined market shares through acquisitions of other large shipping carriers. Carrier CMA bought American President Lines, LLC in 2015. Carrier Hapag merged with CSAV (Compania Sud Americana de Vapores S.A.) in 2014, acquired CCNI (Compania Chilena de Navegación Interoceanica) in 2015, and acquired UASC (United Arab Shipping Company) in 2017. Respondent COSCO merged with China Shipping in 2016 and acquired Respondent OOCL in 2018. Respondent ONE was founded in 2016 as a joint venture of three large Japanese carriers, NYK (Nippon Yusen Kabushiki Kaisha), MOL (Mitsui O.S.K. Lines, Ltd.), and K Line (Kawasaki Kisen Kaisha, Ltd.). Carrier Maersk bought Hamburg Sud (Hamburg Suddamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG) in 2017.

ANSWER: Not applicable as to other carriers. Denied as to OOCL. OOCL admits that it was acquired by a COSCO entity in 2018.

53. The result of this consolidation and alliance activity has been to create an oligopoly of carriers that collectively control the main transoceanic shipping lanes. Industry commentators have opined that this oligopolistic competitive landscape enabled ocean carriers to coordinate their activities and avoid price competition prior to and through the pandemic disruptions.

ANSWER: Not applicable as to other carriers. Denied as to OOCL.

54. As a result of this industry consolidation, the top eight carriers had a collective market share of 81.1% of all global shipping capacity as of November 2021. Presently, the top 10 carriers, which includes the four Respondents and six others, have a collective market share of nearly 85% of all global shipping capacity. Prominent industry commentators have recognized that this increased concentration allowed ocean carriers to alter their business practices to prioritize profitability during the pandemic disruptions, at the expense of their customers. Upon information and belief, during the pandemic, ocean carriers were also able to coordinate their policies, leading to instances in which most, if not all, of the unlawful practices alleged herein were being implemented across the board, eliminating the opportunity for customers to seek viable alternative accommodations or mitigate their damages.

ANSWER: Not applicable as to other carriers. Denied as to OOCL.

55. In the early months of the COVID19 pandemic, multiple ocean carriers simultaneously canceled scheduled voyages under the guise of demand uncertainty. Industry commentators noted that this parallel activity was a continuation of carriers' coordinated practices from even before the pandemic, when carriers often actively coordinated parallel "blank" sailings during periods of weak demand growth. In May through August 2020, the three largest container shipping alliances announced cancellations of 126 scheduled sailings between Asia

and North America, and 94 scheduled sailings between Asia and Europe. In the first six months of 2020, container lines collectively canceled over 1,000 voyages. These coordinated mass blank sailing events, caused by "shipping lines ... consciously deciding not to take cargoes from each other", successfully prevented container rates from slipping even in the face of supply disruptions and shutdowns. The effect of these canceled voyages was to restrict capacity and ultimately create a shock to the shipping market when consumer demand for imports made a dramatic resurgence in summer of 2020.

ANSWER: Not applicable as to other carriers. Denied as to OOCL.

56. In addition to failing to meet their service commitments, the major carriers frequently imposed simultaneous unilateral surcharges, such as premium rates or PSS. Industry commentators attributed a lack of effective competition for carriers' ability to charge surcharges in parallel to not meeting service commitments. As a shipper, if all carriers were demanding exorbitant surcharges at the same time, there was little incentive-and indeed, no feasible alternative-to do anything other than accept.

ANSWER: Not applicable as to other carriers. Denied as to OOCL.

57. This parallel conduct led to a vicious upward spiral of freight prices, with carriers demanding increasingly astronomical prices from shippers who often were already not receiving from those carriers the cargo space that they had bargained for in their existing (and supposedly fixed-rate) service contracts.

ANSWER: Not applicable as to other carriers. Denied as to OOCL.

58. As reported in the industry press, during pandemic disruptions, major carriers failed to take volume from each other and deliberately avoided aggressive competition. Because only a

handful of companies controlled shipping capacity, they had little incentive to compete. Instead, carriers prioritized profitability, managing supply during the early pandemic disruptions and raising prices in lockstep during the period of high demand that followed.

ANSWER: Not applicable as to other carriers. Denied as to OOCL.

59. The parallel failure of ocean carriers to honor their respective service contracts and provide contracted capacity pushed customers into the volatile spot market. Commentators have noted that several ocean carriers pursued a strategy of non-adherence to contracts during the 2021-2022 period of high spot market rates, in order to maximize revenue. Press reports also revealed that, during this period, carriers overbooked ships and then prioritized spot market cargo on those ships. Because carriers acted in parallel to short customers on their contracted-for space, customers had nowhere to turn but the expensive spot market-a market dominated by those very same carriers. Carriers' parallel conduct led to shippers' increased use of the spot market in the aggregate, increasing carrier profits at the expense of customers.

ANSWER: Not applicable as to other carriers. Denied as to OOCL.

60. With the terms of existing shipping "alliances" ending soon, carriers are regrouping into slightly different but no less concentrated alliances. In 2024, Respondents ONE and Yang Ming, along with carrier HMM, announced a new "Premier Alliance" that will be effective for five years from February 2025, effectively continuing the "THE Alliance" well into the future. Finally, Carriers CMA and COSCO, along with Respondents OOCL and Evergreen, will continue the OCEAN Alliance with its current members and service.

ANSWER: Not applicable as to other carriers. Denied as to OOCL.

61. As alleged above, Complainant entered into service contracts covering the 2020-2021 shipping year with all Respondents.

ANSWER: OOCL admits that it entered into a service contract with a company claimed by Complainant to be a predecessor of Complainant. Otherwise, not applicable as to other carriers and denied as to OOCL.

62. As alleged above, Complainant entered into service contracts covering the 2021-2022 shipping year with Respondents ONE and OOCL.

ANSWER: Not applicable as to other carriers. Denied as to OOCL.

63. Complainant's Service Contracts with Respondents each specified respective MQCs of cargo to be shipped and entailed corresponding service commitments by Respondents to provide vessel space sufficient to carry those MQCs.

ANSWER: Not applicable as to other carriers. As to OOCL, admitted that the Service Contract between OOCL and Complainant's purported predecessor had an MQC and contained other provisions regarding, inter alia, compliance with and changes to the MQC and the effect of either party failing to meet the MQC, otherwise denied.

64. Instead of honoring their respective service commitments, Respondents each undertook a practice of systematically failing to provide the cargo space for which Complainant had contracted in the Service Contracts, resulting in mounting shortages.

ANSWER: Not applicable as to other carriers. Denied as to OOCL.

65. As alleged herein and summarized below, each Respondent pursued a policy of falling short on its service commitments throughout the terms of its 2020 Service Contract and its 2021 Service Contract and profited by shifting the cargo space for which Complainant had contracted to freight being carried at higher rates.

ANSWER: Not applicable as to other carriers. Denied as to OOCL.

[Paragraphs 66-90 are not applicable to OOCL.]

91. OOCL executed the Service Contracts with NBG for the 2020--2021 shipping year with an MQC of 2,000 twenty-foot equivalent container units ("TEUs") and the 2021-2022 shipping years with an MQCs 2,250 TEUs, respectively, corresponding to a monthly allocation of 166.7 TEUs for 2020--2021 shipping year and 187.5 TEUs for the 2021-2022 shipping year respectively. Upon information and belief, during those shipping years, OOCL engaged in a practice of providing only part of the contracted service commitments, to reserve space on its vessels for higher-priced spot market purchases, which resulted in mounting shortages. As a result of OOCL's practices, Complainant was forced to obtain alternative space at higher prices or forgo shipments entirely.

ANSWER: OOCL denies the allegations of Paragraph 91, except OOCL admits that Service Contract No. PE203120 (effective May 1, 2020-April 30, 2021) contained an MQC of 1,553 Twenty-foot Equivalent Units (TEUs), Service Contract No. PE213131 (effective May 1, 2021-April 30, 2022) contained an MQC of 1,682 TEUs, and Service Contract No. PE223066 (effective May 1, 2022-April 30, 2023) contained an MQC of 1,868 TEUs.

92. Complainant's records indicate that OOCL carried only approximately 74% of its service commitment under the 2020 Service Contract, for a shortfall of at least 528 TEU s-26% less than committed. This shortfall forced Complainant to obtain alternative cargo space at much higher prices or else forgo shipments entirely. Based on available data, during the 2020-2021 shipping year, the additional incremental cost of replacing OOCL's shortfall was at least \$2,740,999.30.

ANSWER: OOCL denies that there was any shortfall by OOCL. Otherwise, OOCL lacks information sufficient to admit or deny what Complainant's records show; to the extent a response is required, denied.

93. Similarly, Complainant's records indicate that OOCL had a shortfall of at least 230 TEUs - 10% less than committed in its service commitment under the 2021 Service Contract. Again, this shortfall forced Complainant to obtain alternative cargo space at much higher prices or else forgo shipments entirely. Based on available data, during the 2021-2022 shipping year, the additional incremental cost of replacing OOCL's shortfall was at least \$2,313,300.84.

ANSWER: OOCL denies that there was any shortfall by OOCL. Otherwise, OOCL lacks information sufficient to admit or deny what Complainant's records show; to the extent a response is required, denied.

94. NBG made repeated attempts in the 2020-2021 shipping year to inquire as to OOCL's underperformance in cargo carriage. NBG employees made inquiries regarding "seeing 30 bookings be completely canceled just days before they are supposed to pickup. This is happening when we attempt to get the SO released. This obviously puts us in a terrible position to recover the load elsewhere. Please advise what can be done to assist with this." OOCL's Billie Webb responded that "the space issue is beyond our control." They further noted that "[e]very carrier bookings be completely canceled just days before they are supposed to pickup. This is happening when we attempt to get the SO released. This obviously puts us in a terrible position to recover the load elsewhere. Please advise what can be done to assist with this." OOCL's Billie Webb responded that "the space issue is beyond our control." They further noted that "[e]very carrier, just about, is having the same issues. We should not [have] been canceling bookings days before they are scheduled to pick up."

Webb requested booking numbers at that point, to verify the cancelled bookings, but noted that "once you have reached your CSAL limit there can be no more space" while the problem was largely unremedied.

ANSWER: OOCL lacks information sufficient to admit or deny the allegations of Paragraph 94; to the extent a response is required, denied.

95. OOCL's employee Webb also admitted to NBG on August 10, 2020 that "[m]ost customers are not getting their MQC at this point" and that while NBG attempted to make bookings, NBG was "overbooked" for a few weeks above the monthly average rate under the 2020 Service Contract MQC, hence why OOCL did not allocate. While "overbooking" was provided as a reason to not allocate space, ultimately this excuse rings false as OOCL fell dismally behind its overall MQC under the 2020 Service Contract. In addition, average monthly TEUs under an MQC are just a guideline and not a "cap" that would otherwise limit access to space in other weeks altogether under NBG's Service Contracts. Webb provided further reasoning as to why NBG could not be allocated space since "so many customers (not you guys) cut back on their MQC ... which caused us (the Northeast region) to get our space on the ships cut back. We lost 10,000 TEU of space. The unfortunate thing is customers are still trying to book like we still have that I'm just being honest with you." OOCL essentially told NBG that due to other customers' booking patterns and cancellations, OOCL could not accept valid bookings that NBG attempted to make.

ANSWER: Denied with respect to the allegation that OOCL could not accept valid bookings that NBG attempted to make. Otherwise, OOCL lacks information sufficient to admit or deny the quotations attributed to its former employee and contained in the

allegations of Paragraph 95; to the extent a response is required, denied. OOCL denies that it failed to meet its MQC commitments.

96. NBG continued to require space, but experienced problems with OOCL through 2021 and to the 2021-2022 shipping year, with bookings routinely cancelled and rejected. When an NBG employee requested the contract year-to-date containers shipped with freight cost breakdown by month, OOCL could not provide it. OOCL also provided confusing and counterintuitive guidance to NBG, insisting on June 21, 2021 that NBG ship out of Yantian instead of other ports at which NBG's requested bookings were denied and then only three weeks later, on July 6, 2021, stating that there "is still a big backlog in [Yantian]" and that no "customer of ours is getting their allocation CSAL currently. There is just too much backlog to be able to do that." NBG's space issues with OOCL continued through the 2021-2022 shipping year, with OOCL meeting barely half of their MQC commitment through that 2021 Service Contract.

ANSWER: OOCL lacks information sufficient to admit or deny the quotations attributed to its former employee and contained in the allegations of Paragraph 96; to the extent a response is required, denied. OOCL denies that it failed to meet its MQC commitment.

97. OOCL's failures throughout the 2020--2021 and 2021-2022 shipping years constituted a systematic practice of failing to fulfill its service commitments to Complainant.

ANSWER: OOCL denies the allegations of Paragraph 97.

98. Upon information and belief, OOCL had the ability to perform its obligations under the Service Contracts. OOCL is a member of the OCEAN Alliance. The OCEAN Alliance operates on major global trade lanes, including Asia-U.S., Asia-Europe, and Europe-U.S, and

is one of the largest shipping alliances in the world. By February 2023, the OCEAN Alliance reportedly had a total capacity of 4.3 million TEUs, which accounted for 16% of global fleet capacity. OOCL's cargo capacity is plainly large enough to accommodate the service commitments set forth in the Service Contract.

ANSWER: OOCL denies the allegations of Paragraph 98, except that OOCL admits that it was a member of the Ocean Alliance during the relevant time period.

99. During the 2020-2021 shipping year, Complainant had to obtain alternative carriage at higher rates for at least 528 TEUs of cargo (26% of total MQC) that OOCL could and should have carried. Further, during the 2021-2022 shipping year, Complainant had to obtain alternative carriage at higher rates for at least 230 TEUs of cargo (10% of total MQC) that OOCL could and should have carried. These failures by OOCL resulted in Complainant paying above and beyond the prices Complainant would have paid had OOCL honored the pricing and service commitments guaranteed under the Service Contracts.

ANSWER: OOCL denies the allegations of Paragraph 99.

100. Upon information and belief, OOCL's failure to provide contracted space to Complainant was part of a practice by OOCL of preferring higher-priced freight.

ANSWER: OOCL denies the allegations of Paragraph 100.

101. Upon information and belief, and as shown by OOCL's reported soaring revenues and profitability despite failing to carry approximately 26% of its service commitment to Complainant during the 2020--2021 shipping year and approximately 10% of its service commitment to Complainant during the 2021-2022 shipping year, OOCL's shortfalls on its service commitments to Complainant and other shippers with service contracts were the

result of OOCL violating its service commitments and offering bargained-for space to other shippers who were willing to pay higher freight prices.

ANSWER: OOCL denies the allegations of Paragraph 101.

102. Upon information and belief, Respondent OOCL's shortfalls in honoring its service commitments under its respective Service Contract during the 2020-2021 shipping year forced Complainant to secure space on the open market at high prices, resulting in excess costs of at least \$2,740,999.30 under the 2020 Service Contract.

ANSWER: OOCL denies the allegations of Paragraph 102.

103. Upon information and belief, Respondent OOCL's shortfalls in honoring its service commitments under its respective Service Contract during the 2021-2022 shipping year forced Complainant to secure space on the open market at high prices, resulting in excess costs of at least \$2,313,300.84 under the 2021 Service Contract.

ANSWER: OOCL denies the allegations of Paragraph 103.

104. Upon information and belief, OOCL's actions in deliberately failing to honor its service commitments and instead allocating space to the highest bidder also contributed to the inflationary spiral in container rates by artificially increasing demand, including by forcing shippers who had already negotiated service contracts into the open market to make up for shortfalls caused by OOCL's unfair and unreasonable practices.

ANSWER: OOCL denies the allegations of Paragraph 104.

[Paragraphs 105-127 are not applicable to OOCL.]

128. In addition to failing to meet their respective service commitments, the Respondents ONE, OOCL, and Evergreen engaged in an unfair practice of coercing financial concessions above and beyond those purportedly fixed by their respective Service Contracts, such as PSS, premium rates, or other surcharges, as a prerequisite to honoring even a portion of their respective existing service commitments.

ANSWER OOCL denies the allegations of Paragraph 128 insofar as it refers to OOCL.

References to other carriers are not applicable.

129. On numerous occasions, despite being far behind their respective service commitments to Complainant, the Respondents nonetheless made space available only on the basis of an exorbitant PSS or other improper surcharge.

ANSWER: OOCL denies the Allegations of Paragraph 129 with respect to OOCL. Not applicable with respect to other carriers.

130. Respondents ONE, OOCL, and Evergreen conditioned their respective provision of space on an explicit quid pro quo, in which Complainant had to agree to pay exorbitant PSS, premium rates, and/or other surcharges just to get the cargo space for which it had already bargained in its Service Contracts.

ANSWER: OOCL denies the Allegations of Paragraph 130 with respect to OOCL. Not applicable with respect to other carriers.

[Paragraphs 131-135 are not applicable.]

136. OOCL also engaged in an unfair practice of coercing financial concessions beyond the Service Contracts' scope, such as PSS or other surcharges, as a prerequisite to honoring even a portion of its service commitments to NBG. OOCL even went so far as to explicitly

condition its service under the Service Contracts on the payment of PSS, as discussed in further detail below.

ANSWER: OOCL denies the Allegations of Paragraph 136.

137. OOCL charged PSS ranging from \$480 to \$760 per container to NBG for all cargo as of December 30, 2020, and continued through 2021 with similar charges, some for even higher amounts. OOCL's employee Billie Webb wrote to NBG that "I know we are working on the Contract for next year. Since it will not be effective I need to know if you would be willing to extend the \$600/40 to April 30" to extend out PSS to the very last month of NBG's 2020 Service Contract ahead of signing the next one. Webb stated to NBG that the PSS charged was "fair market rates and we have had a lot of customers sign up at this rate and above. We are nearing the point where we have now entered a bidding war phase on the contract negotiations. Some BCO's are agreeing to higher rates to secure increased MQC's. Shippers must realize that the barn door cannot remain open for much longer. We need to have customers sign so we can lock down their space for them." Webb followed that they were "certainly not trying to put any pressure" while stating that other carriers would not "guarantee [NBG] the space."

ANSWER: OOCL denies the Allegations of Paragraph 136, except admits that it did charge PSS in varying amounts as agreed by NBG and in accordance with the terms of the applicable Service Contracts and as consistent with past practice between the Parties and lacks sufficient information to admit or deny that allegations regarding communications with a former OOCL employee; to the extent a response is required, denied.

138. OOCL's behavior demonstrated a conscious and growing pattern of entering into service contracts with shippers at quoted prices with the intention of not actually meeting its service commitments under such service contracts at the agreed -upon rates as rates on the open market continued to increase. Instead, OOCL either imposed additional and ever-rising charges beyond the contract rates, such as PSS or premium rates, or neglected to provide transportation to the contracted shippers, at all. Overall, OOCL's wrongful imposition of extracontractual surcharges, including PSS and the imposition of premium charges, caused Complainant to overpay for the carriage that it did receive from OOCL by an amount up to or exceeding approximately \$3 million during the 2020-2021 shipping and the 2021-2022 shipping year.

ANSWER: OOCL denies the allegations of Paragraph 138.

[Paragraphs 139-144 are not applicable.]

145. Respondents ONE, OOCL, and Evergreen's imposition of PSS and other improper premium rates and surcharges was unjust and unreasonable, especially in light of the already very high prices agreed upon in the underlying Service Contracts. In particular, during the terms of the 2021 Service Contracts, Respondents agreed to their respective service commitments with full knowledge of the overall freight environment over a year into the pandemic, and nonetheless immediately reneged on their respective service commitments, negotiated at rates that were already substantially higher than pre-pandemic, to extract exorbitant additional fees.

ANSWER: OOCL denies the Allegations of Paragraph 145 with respect to OOCL. Not applicable with respect to other carriers.

146. In the 2020-2021 shipping year and the 2021-2022 shipping year, Complainant paid a premium of up to or exceeding approximately \$4 million to Respondents ONE, OOCL, and Evergreen for cargo shipped by those Respondents during that period, which could have been avoided had those Respondents fulfilled their respective service commitments to Complainant in compliance with the Service Contracts.

ANSWER: OOCL denies the Allegations of Paragraph 146 with respect to OOCL. Not applicable with respect to other carriers.

147. These surcharges, which were levied on top of already elevated contract prices, have been subject to regulatory scrutiny. On August 4, 2021, the FMC launched an inquiry into the timing and legality of ocean carrier practices with respect to surcharges. FMC Chairman Daniel B. Maffei noted that cargo rates were already at "record highs", and that "[n]ow, we hear increasing reports of ocean carriers assessing new additional fees, such as 'congestion surcharges', with little notice or explanation."

ANSWER: OOCL denies the Allegations of Paragraph 147 with respect to OOCL. Not applicable with respect to other carriers. OOCL denies that anything said by Commissioner Maffei has any application to this proceeding.

148. Chairman Maffei observed, "It seems to me that [congestion-related] factors would already have been included into the record high rates charged by the carriers As Chairman, I want to know the carriers' justifications for additional fees and I strongly support close scrutiny by the FMC's Bureau of Enforcement aimed at stopping any instance where these add-on fees may not fully comply with the law or regulation."

ANSWER: OOCL denies the Allegations of Paragraph 148 with respect to OOCL. Not applicable with respect to other carriers. OOCL denies that anything said by Commissioner Maffei has any application to this proceeding.

149. As alleged herein, the Charges, or a substantial majority thereof, were unjustly and unreasonably assessed, and were due to either the acts or omissions of Respondents or other circumstances over which Complainant and its agents and service providers had no control.

ANSWER: OOCL denies the Allegations of Paragraph 149 with respect to OOCL. Not applicable with respect to other carriers.

150. Accordingly, Complainant seeks reparations with respect to the Charges addressed herein under 46 U.S.C. Sections 41301 et seq.

ANSWER: Paragraph 150 is a request for relief and conclusion of law, not an allegation, so no response is required. To the extent that a response is required, OOCL admits that Complainant filed a complaint, which states what Complainant seeks, but otherwise denies Paragraph 150, including the false statements in footnote 5.

151. Complainant requests that the FMC promptly investigate the Charges pursuant to 46 U.S.C. Section 41301(c), specifically regarding their compliance with 46 U.S.C. Sections 41102(c) and 41104(a) and their reasonableness pursuant to 46 C.F.R. Section 545.5 and the FMC's Interpretive Rule.

ANSWER Paragraph 151 is a request for relief and conclusion of law, not an allegation, so no response is required. To the extent that a response is required, OOCL denies the allegations and conclusions of law.

152. Complainant requests that the FMC promptly order Respondents pursuant to 46 U.S.C. Section 41305 to pay Complainant reparations for the unlawful conduct alleged herein for all

Charges paid by Complainant that the FMC determines did not comply with 46 U.S.C. 41102(c) or 41104(a) or determines to be unreasonable under 46 C.F.R. Section 545.5 or the FMC's Interpretive Rule.

ANSWER: Paragraph 152 is a request for relief and conclusion of law, not an allegation, so no response is required. To the extent that a response is required, OOCL denies the allegations and conclusions of law.

153. Upon information and belief, the Charges assessed by Respondents and paid by Complainant were assessed during periods of time in which such Charges were not just or reasonable because of circumstances outside the control of Complainant and its agents and service providers, such as congestion at ports, lack of appointments to pick up or return containers, and shortage of equipment such as chassis.

ANSWER: Paragraph 153 is a conclusion of law, not an allegation, so no response is required. To the extent that a response is required, OOCL denies the allegations and conclusions of law as to OOCL. Not applicable as to other carriers.

154. Complainant's records also reflect the astronomical scale of the demurrage Charges for idling containers (charges that would in many instances run into multiple tens of thousands of dollars). These exorbitant demurrage fees were imposed even though Complainant's drayage providers were working to secure appointments as soon as possible and despite market conditions outside of Complainant's control that created long dwell times.

ANSWER: OOCL denies the allegations of Paragraph 154 as to OOCL. Not applicable as to other carriers.

155. Demurrage Charges were also imposed on Complainant due to Respondents' own actions or inaction, including Respondents' delay in alerting Complainant of container releases.

ANSWER: OOCL denies the allegations of Paragraph 155 as to OOCL. Not applicable as to other carriers.

156. The demurrage Charges imposed by Respondents on Complainant also cannot be justified as any kind of incentive for Complainant to expeditiously move its cargo. Complainant made repeated and proactive efforts to work with its providers to move containers and stock empty shelves-a situation that was widely reported in the news media.

ANSWER: OOCL denies the allegations of Paragraph 156 as to OOCL. Not applicable as to other carriers.

157. In addition to the broad effects of port congestion cited above, Complainant's communications at the time also reflect that Respondents frequently imposed detention Charges 48 despite diligent efforts by Complainant and its drayage providers to move and return containers or when the causes for the detention and demurrage were outside of the control of Complainant.

ANSWER: OOCL denies the allegations of Paragraph 157 as to OOCL. Not applicable as to other carriers.

[Paragraphs 158-165 are not applicable to OOCL.]

166. During the 2020--2021 and 2021-2022 shipping years, NBG paid detention and demurrage Charges assessed by OOCL that were excessive and, in large part, operated to penalize NBG for conditions outside of NBG's control. For example, an employee at NBG noted that "OOCL won't release the containers until we pay" when there was accrued Charges, despite numerous back and forth exchanges with OOCL regarding attempts at

payment. OOCL's issues processing payments or backend delays were out of Complainant's control and therefore should not have been charged to Complainant.

ANSWER: OOCL denies the allegations of Paragraph 166, except that it lacks information sufficient to admit or deny what an alleged but unnamed employee at NBG may have said; to the extent a response is required, denied.

167. Further, when an NBG employee asked OOCL employee Billie Webb about whether detention/demurrage would be charged for one day the prior week when "there was a huge weather storm in [the] [M]iddle [E]ast and it has caused truckers, rail, warehouse to close and not operate in the conditions that are unsafe for over a week" NBG was provided no relief. Billie Webb made clear that since "demurrage is charged by the port or rail. It is out of OOCL's hands to control or mitigate this cost. Just as FYI, you are not the only customer having this issue. Most all customers are dealing with this currently." In spite of understanding the conditions, and that such Charges were completely outside the control of Complainant, OOCL refused to shoulder any cost or responsibility and instead assessed such Charges against Complainant. OOCL also acknowledged that April and May 2021 would "bring space issues because of all the delays, lack of equipment and vessel slides because of amount of vessels that are currently idling off both the East and West coast," recognizing the vast issue with accessing containers.

ANSWER: OOCL lacks sufficient information to admit or deny the allegations of Paragraph 167; to the extent a response is required, denied.

168. Based upon OOCL's unreasonable conduct related to the Charges, Complainant incurred additional costs related to the Charges in an amount to be proven at trial.

ANSWER: OOCL denies the allegations of Paragraph 168.

[Paragraphs 169 -175 are not applicable to OOCL.]

176. As Commissioner Rebecca F. Dye emphasized in her Final Report from the FMC's Fact Finding Investigation 29, "the Interpretive Rule on Detention and Demurrage promulgated by the Commission pursuant to Fact Finding 28 provides the shipping public with an **enforceable principle** that the Commission employs to assess the reasonableness of demurrage and detention practices and regulations under the Shipping Act of 1984, as amended."

ANSWER: OOCL admits that Commissioner Dye made such statement on page 6 of *Fact Finding Investigation 29 Final Report: Effects of the Covid-19 Pandemic on the U.S. International Ocean Supply Chain: Stakeholder Engagement and Possible Violations of 46 U.S.C. 41102(c)*(available at <https://www.fmc.gov/wp-content/uploads/2022/06/FactFinding29FinalReport.pdf>). OOCL denies that the bold language in Paragraph 176 appeared as bold in the original statement and further denies that the statement has any relevance as to OOCL in this proceeding.

177. As illustrated in the FMC's Interpretive Rule, "the purpose of demurrage and detention are to incentivize cargo movement," and therefore the FMC "will consider in the reasonableness analysis under section 41102(c) the extent to which demurrage and detention are serving their intended purposes as financial incentives to promote freight fluidity."

ANSWER: Paragraph 177 is an argument of law, to which no response is needed. To the extent that a response is required, OOCL admits that these words appear in the Interpretive Rule.

178. As alleged herein, the Respondents' assessment of the Charges, or a substantial majority thereof, and the acts or omissions of the Respondents that led to the assessment of such Charges were incapable of incentivizing cargo movement and therefore unreasonable.

ANSWER: OOCL denies the allegations of Paragraph 178 as to OOCL. Not applicable as to other carriers.

179. Upon information and belief, the Charges imposed on Complainant did not serve, and could not have served, as a financial incentive to promote freight fluidity, but instead operated only as a punitive-but profitable for Respondents-penalty on Complainant for circumstances over which Complainant and its agents and service providers had little to no control such as congestion at ports, lack of appointments, or shortages of equipment.

ANSWER: OOCL denies the allegations of Paragraph 179 as to OOCL. Not applicable as to other carriers.

180. Moreover, the Charges imposed on Complainant were unreasonable based on the totality of the circumstances, including circumstances caused by factors out of Complainant's control and by Respondents' own policies, actions, or inaction

ANSWER: Paragraph 180 is a conclusion of law, as to which no response is required. To the extent an answer may be required, OOCL denies the allegations of Paragraph 180 as to OOCL. Not applicable as to other carriers.

181. Respondents' conduct with respect to Complainant as alleged herein, including systematically failing to meet their respective service commitments to Complainant during the terms of their respective Service Contracts, demanding extra-contractual premium contract pricing or PSS and other surcharges, and refusing to accommodate Complainant's

requests for full or partial refunds of unreasonable demurrage and detention Charges, constituted unlawful refusals to deal or negotiate.

ANSWER: Paragraph 181 is a conclusion of law, as to which no response is required. To the extent an answer may be required, OOCL denies the allegations of Paragraph 181 as to OOCL. Not applicable as to other carriers.

182. Complainant engaged in detailed and ongoing discussions with each of the Service Contract Respondents regarding forecasts breaking down Complainant's anticipated shipping needs under the Service Contracts. However, as alleged above, when Complainant or its agents actually sought to use the space for which Complainant had contracted, Complainant was unable to secure the space at the appropriate prices, if at all, due to Respondents' practices alleged herein of refusing to deal with Complainant pursuant to the Service Contracts in favor of more expensive freight in the form of premium rates, PSS, or other added surcharges, or by selling Complainant's bargained-for space to other shippers who agreed to pay higher rates or surcharges.

ANSWER: OOCL denies the allegations of Paragraph 182 as to OOCL. Not applicable as to other carriers.

183. As alleged herein, Respondents' refusals to deal or meet their service commitments continued throughout the terms of their respective Service Contracts.

ANSWER: OOCL denies the allegations of Paragraph 183 as to OOCL. Not applicable as to other carriers.

184. Respondents' practices succeeded in enriching Respondents at Complainant's expense, as shown by the record financial results Respondents reported during the relevant time period.

ANSWER: OOCL denies the allegations of Paragraph 184 as to OOCL. Not applicable as to other carriers.

[Paragraph 185 is not applicable to OOCL.]

185. In announcing its 2021 Full Year Results, OOCL stated that "[o]ur results for 2021, which include **the highest ever revenue, liftings and profit figures for our core container shipping and logistics business**, surpassed even the outstanding outcome for 2020. **The financial results were achieved in a context that is entirely without precedent.**" OOCL recorded an operating profit of \$7.380 billion in 2021, an increase of approximately **644%** from the previous year.

ANSWER: OOCL admits that the quoted language – minus the emphases – may be found in its Annual Report for 2021. OOCL admits that it recorded an operating profit of \$7.38 billion in 2021 and that this represented a 644% increase from the previous year.

[Paragraphs 187-188 are not applicable to OOCL.]

189. As alleged herein, Respondents' behaviors have caused significant harm to Complainant in numerous ways, such as producing delays in freight transportation, appropriating scarce resources for ocean freight expenses, causing uncertainty and scarcity within the business, and disrupting Complainant's ability to operate, and resulting in injuries, including lost profits, in an amount to be determined at trial.

ANSWER: OOCL denies the allegations of Paragraph 189 as to OOCL. Not applicable as to other carriers.

190. Respondents' shortfalls in honoring their respective service commitments under their respective Service Contracts during the 2020--2021 shipping year forced Complainant to secure space on the open market at high prices, resulting in excess costs of at least \$13,435,367.74 under the 2020 Service Contracts.

ANSWER: OOCL denies the allegations of Paragraph 190 as to OOCL. Not applicable as to other carriers.

191. Respondent ONE and OOCL's shortfalls in honoring their respective service commitments under their respective Service Contracts during the 2021-2022 shipping year forced Complainant to secure space on the open market at high prices, resulting in excess costs of at least \$33,162,667.41 under the 2021 Service Contracts.

ANSWER: OOCL denies the allegations of Paragraph 191 as to OOCL. Not applicable as to other carriers.

192. Respondents ONE, OOCL, and Evergreen's wrongful imposition of extracontractual surcharges, such as PSS and premium contract rates, on top of the rates that Complainant should have paid under the Service Contracts, caused Complainant to overpay for the carriage that it did receive from Respondents ONE, OOCL, and Evergreen in an amount up to or exceeding approximately \$4 million during the terms of their respective Service Contracts.

ANSWER: OOCL denies the allegations of Paragraph 192 as to OOCL. Not applicable as to other carriers.

193. Respondents' wrongful imposition of the Charges directly injured Complainant, in amounts to be determined at trial in improper demurrage and detention Charges assessed against Complainant.

ANSWER: OOCL denies the allegations of Paragraph 193 as to OOCL. Not applicable as to other carriers.

194. As the FMC's Chief Administrative Law Judge noted in the *MCS Industries* case, abuses like those alleged herein are matters of "national significance". Abusive, unjust, and unreasonable practices by major international ocean carriers, such as the conduct alleged herein, are likely to wield outsized influence over general practices in the industry. If not corrected, Respondents' unlawful practices may become industry standard, sending a message to all global container lines that it is acceptable to ignore service contracts and coerce surcharges from customers as a precondition to carrying previously contracted cargo, and impose punitive detention and demurrage charges upon shippers because of delays and conditions outside of shippers' control.

ANSWER: OOCL admits that the Chief ALJ wrote the words quoted but denies any analogy between the cases. Otherwise, OOCL denies the allegations of Paragraph 194 as to OOCL. Not applicable as to other carriers.

195. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

ANSWER: OOCL repeats and realleges every answer above as if fully set forth herein.

196. Respondents' practices alleged herein of systematically failing to meet their respective service commitments to Complainant and, upon information and belief, other shippers, preferring higher priced carriage of other shippers' cargo, seeking to coerce Complainant and, upon information and belief, other shippers, to pay PSS and other surcharges in order to obtain previously contracted cargo space, as well as Respondents' efforts to coerce amendments to the Service Contracts or premium contract rates and bad faith denial of their

respective service commitments to Complainant, constituted failures by Respondents to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainant and, upon information and belief, other shippers, in violation of 46 U.S.C. Section 41102(c).

ANSWER: Paragraph 196 is a conclusion of law as to which no response is required. To the extent an answer may be required, OOCL denies the allegations of Paragraph 196 as to OOCL. Not applicable as to other carriers.

197. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

ANSWER: OOCL repeats and realleges every answer above as if fully set forth herein.

198. Respondents' assessment of the Charges, and the alleged acts or omissions of Respondents that led to the assessment of such Charges, constituted failures by Respondents to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainant, in violation of 46 U.S.C. Section 41102(c), 46 C.F.R. Section 545.5, and the FMC's Interpretive Rule.

ANSWER: Paragraph 198 is a conclusion of law, as to which no response is required. To the extent an answer may be required, OOCL denies the allegations of Paragraph 198 as to OOCL. Not applicable as to other carriers.

199. Furthermore, Respondents' practices and actions related to the assessment of demurrage and detention Charges under bills of lading with Complainant are inconsistent with or do not comply with all applicable provisions and regulations, including subsection (c) of section 41102 or part 545 of title 46, Code of Federal Regulations (or successor regulations), in violation of 46 U.S. C. Section 41104(a)(14).

ANSWER: Paragraph 199 is a conclusion of law, as to which no response is required. To the extent an answer may be required, OOCL denies the allegations of Paragraph 199 as to OOCL. Not applicable as to other carriers.

200. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

ANSWER: OOCL repeats and realleges every answer above as if fully set forth herein.

201. Respondents' practices alleged herein of systematically failing to meet their respective service commitments to Complainant, preferring higher priced carriage of other shippers' cargo, seeking to coerce Complainant to pay PSS and other surcharges in order to obtain previously contracted cargo space, as well as Respondents' efforts to coerce amendments to the Service Contracts or premium contracts or rates and bad faith denial of their respective service commitments to Complainant, constituted provision of service in the liner trade that was not in accordance with the rules and practices contained in Respondents' Service Contracts with Complainant, for which no exception or exemption applies and that have not been suspended or prohibited by the FMC, in violation of 46 U.S.C. Section 41104(a)(2).

ANSWER: Paragraph 201 is a conclusion of law, as to which no response is required. To the extent an answer may be required, OOCL denies the allegations of Paragraph 201 as to OOCL. Not applicable as to other carriers.

202. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

ANSWER: OOCL repeats and realleges every answer above as if fully set forth herein.

203. Respondents' practices alleged herein of systematically failing to meet their respective service commitments to Complainant, preferring higher priced carriage of other shippers'

cargo, seeking to coerce Complainant to pay PSS and other surcharges in order to obtain previously contracted cargo space, as well as Respondents' efforts to coerce amendments to the Service Contracts or premium contracts or rates, bad faith denial of their respective service commitments to Complainant, Respondents' assessment of the Charges, and the alleged acts or omissions of Respondents that led to the assessment of the Charges, constituted unreasonable refusals to deal or negotiate with Complainant in violation of 46 U.S.C. Section 41104(a)(10).

ANSWER: Paragraph 203 is a conclusion of law, as to which no response is required. To the extent an answer may be required, OOCL denies the allegations of Paragraph 203 as to OOCL. Not applicable as to other carriers.

204. Respondents' practices of systematically failing to meet their respective service commitments to Complainant have directly and proximately injured Complainant by forcing Complainant to make alternate transportation arrangements, at substantially higher prices, for cargo that was supposed to be carried by Respondents pursuant to the terms of the Service Contracts or forgo shipping such cargo altogether.

ANSWER: OOCL denies the allegations of Paragraph 204 as to OOCL. Not applicable as to other carriers.

205. Respondents' actions in coercing Complainant to pay PSS or other surcharges and to enter into premium rate contracts as a precondition to procure the cargo space for which Complainant had already contracted in the Service Contracts have directly and proximately injured Complainant by forcing Complainant to pay a premium for cargo that was supposed to be carried by Respondents pursuant to the terms of their respective Service Contracts or forgo shipping such cargo altogether.

ANSWER: OOCL denies the allegations of Paragraph 205 as to OOCL. Not applicable as to other carriers.

206. Respondents' assessment of the Charges has directly and proximately injured Complainant by forcing Complainant to pay unjust and unreasonable Charges.

ANSWER: OOCL denies the allegations of Paragraph 206 as to OOCL. Not applicable as to other carriers.

207. Respondents' conduct has caused Complainant to incur other injuries, including delays, failures to receive time-sensitive merchandise, reduced inventory for sale, unnecessary expenses, lost profits, as well as attorneys' fees and expenses relating to litigation.

ANSWER: OOCL denies the allegations of Paragraph 207 as to OOCL. Not applicable as to other carriers.

Respondents' misconduct has injured Complainant in several ways.

ANSWER: OOCL denies the allegations of Paragraph 208 as to OOCL. Not applicable as to other carriers.

[Paragraph 209-210 are not applicable to OOCL. To the extent that they may be, OOCL denies the allegations of Paragraph 209-210 as to OOCL. Not applicable as to other carriers.]

211. In addition, Respondents' misconduct has resulted in lost profits and other business damages to Complainant.

ANSWER: OOCL denies the allegations of Paragraph 211 as to OOCL. Not applicable as to other carriers.

212. As explained by the FMC's Chief Administrative Law Judge in *OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft AIS & Co. KG et al.*, FMC Docket No. 21-11, in which another ocean common carrier similarly failed to fulfill its service commitments under a service contract and caused a shortfall of container carriage for the complaining shipper, lost profits can be determined by calculating the average profits per container of the shipper's cargo actually carried during the relevant time period multiplied by the shortfall of containers that the carrier failed to carry. The per-container average profit applicable to Complainant's goods for the relevant time period is a matter of fact to be proven at trial, and at least one methodology of calculating Complainant's lost profits would be to multiply Complainant's average per-container profit by Respondents' service commitment shortfall of 10,044 TEUs.

ANSWER: Paragraph 212 is an argument of law, as to which no response is required. To the extent an answer may be required, OOCL denies the allegations of Paragraph 212.

213. As alleged herein, Respondents' conduct injured Complainant in several ways, including by creating delays in moving freight, by forcing Complainant to allocate scarce resources to ocean freight costs, creating uncertainty and scarcity within the business, and interfering with Complainant's ability to operate, and resulting in injuries, including lost profits, in an amount to be determined at trial.

ANSWER: OOCL denies the allegations of Paragraph 213 as to OOCL. Not applicable as to other carriers.

214. As will be proven at trial, in many instances, Complainant was unable to mitigate Respondents' failure to honor their respective service commitments to Complainant by

securing 63 higher-priced freight on the open market and sustained lost profits as a result of the reduction of imported cargo.

ANSWER: OOCL denies the allegations of Paragraph 214 as to OOCL. Not applicable as to other carriers.

215. During the term of the Service Contracts, as a result of Respondent ONE, Respondent OOCL, and Respondent Evergreen's' imposition of unjust and unreasonable PSS, premium pricing, and other charges alleged herein, Complainant was forced to pay Respondents an amount up to or exceeding approximately \$4 million, more than the rates that Complainant would have paid had Respondents charged the rates negotiated and agreed in the Service Contracts.

ANSWER: OOCL denies the allegations of Paragraph 215 as to OOCL. Not applicable as to other carriers.

216. During the 2020-2021 shipping year, Complainant paid demurrage and detention charges imposed by Respondents. Complainant believes that a substantial majority of the Charges, in an amount to be determined by the FMC in this proceeding, were unjustly and unreasonably assessed, and requests reparations for all such Charges that the FMC determines did not comply with 46 U.S.C. Section 41102(c) or 41104(a) or determines to be unreasonable under 46 C.F.R. Section 545.5 and the FMC's the Interpretive Rule.

ANSWER: OOCL denies the allegations of Paragraph 216 as to OOCL, except that OOCL admits the first sentence as to OOCL. Not applicable as to other carriers.

217. During the 2021-2022 shipping year Complainant paid demurrage and detention charges imposed by Respondents. Complainant believes that a substantial majority of the Charges, in an amount to be determined by the FMC in this proceeding, were unjustly and unreasonably

assessed, and requests reparations for all such Charges that the FMC determines did not comply with 46 U.S.C. Section 41102(c) or 41104(a) or determines to be unreasonable under 46 C.F.R. Section 545.5 and the Incentive Principle of the Interpretive Rule.

ANSWER: OOCL denies the allegations of Paragraph 217 as to OOCL, except that OOCL admits the first sentence as to OOCL. Not applicable as to other carriers.

218. In addition to the injuries stated in the preceding paragraphs, Complainant also suffered other injuries to be calculated at trial.

ANSWER: OOCL denies the allegations of Paragraph 218 as to OOCL. Not applicable as to other carriers.

PRAYER FOR RELIEF

Respondents deny that Complainant is entitled to any of the relief requested by its Complaint and should take nothing from this proceeding.

REQUEST FOR ORAL HEARING

Respondents request an oral hearing to be held in Salt Lake City, UT.

AFFIRMATIVE DEFENSES

1. Without waiving any other defenses, and for further answer, Respondents deny that the Federal Maritime Commission possesses subject matter jurisdiction over this case. The FMC lacks subject matter jurisdiction over the claim asserted in Count I of the Complaint (U.S.C. § 41102(c)), as it is a claim for breach of contract, for which exclusive jurisdiction rests in the federal courts under 28 U.S.C. § 1333, and the Shipping Act.
2. Without waiving any other defenses, and for further answer, Respondents assert that the Commission lacks authority to regulate the reasonableness of cargo space accommodations, or any refusal thereof, for any alleged acts occurring prior to the effectiveness of the Ocean Shipping Reform Act of 2022. The Commission cannot repurpose other provisions of the Shipping Act in novel and unintended ways, in order to reclaim regulatory powers that Congress specifically removed.
3. Without waiving any other defenses, and for further answer, Respondents assert that the Complaint fails to state a claim under 46 U.S.C. 41102(c).
4. Without waiving any other defenses, and for further answer, Respondents assert that the Complaint fails to plead essential elements of a claim under 46 U.S.C. 41102(c).
5. Without waiving any other defenses, and for further answer, Respondents assert that the Complaint fails to state a claim under 46 C.F.R. 545.5.
6. Without waiving any other defenses, and for further answer, Respondents assert that the Complaint fails to state a claim under 46 U.S.C. 41104(a)(14).
7. Without waiving any other defenses, and for further answer, Respondents assert that the Complaint fails to state a claim under 46 U.S.C. 41104(a)(2).

8. Without waiving any other defenses, and for further answer, Respondents assert that the Complaint fails to state a claim under 46 U.S.C. 41104(a)(10).
9. Without waiving any other defenses, and for further answer, Respondents assert that the Complaint fails to plead essential elements of a claim under 46 U.S.C. 41104(a)(10).
10. Without waiving any other defenses, and for further answer, Respondents assert that Complainant failed to take reasonable steps to mitigate its damages.
11. Without waiving any other defenses, and for further answer, Respondents assert that Respondent OOCL (Europe) Limited's area of operations is solely European trades, and as a result it had no involvement in the services at issue in the Complaint.
12. Without waiving any other defenses, and for further answer, Respondents assert that the Complaint and any relief sought thereby are barred by the Statute of Limitations as set forth in 46 U.S.C. 41301(a).
13. Without waiving any other defenses, and for further answer, Respondents assert that the Complaint and any relief sought thereby are barred by the Statute of Limitations as set forth in 46 U.S.C. 41109(e).
14. Without waiving any other defenses, and for further answer, Respondents assert that the Complaint is and any relief sought thereby are barred by the doctrine of laches.
15. Without waiving any other defenses, and for further answer, Respondents assert that the Complaint is barred by the doctrine of unclean hands.
16. Without waiving any other defenses, and for further answer, Respondents assert that the Complaint is barred by the doctrine of impossibility.
17. Without waiving any other defenses, and for further answer, Respondents assert that the Complaint represents a part of an unjust or unreasonable method by which to obtain

ocean transportation at less than the applicable rates, in violation of the Shipping Act.

18. Without waiving any other defenses, and for further answer, Respondents assert that the FMC lacks subject matter jurisdiction over any claim relating to charges imposed by railroads, ocean terminals, or other third parties.
19. Without waiving any other defenses, and for further answer, Respondents assert that the FMC lacks authority to adjudicate this matter, as it would violate the Seventh Amendment.
20. Without waiving any other defenses, and for further answer, Respondents assert that the FMC lacks authority to adjudicate this matter, as it would violate the Judiciary Act of 1789.
21. Without waiving any other defenses, and for further answer, Respondents assert that Complainant waived all of its claims due to its failure to use the procedures required by the FMC and maintained by OOCL for addressing disputes about detention, demurrage, and per diem charges.
22. Without waiving any other defenses, and for further answer, Respondents assert that because OOCL maintained procedures for disputing detention, demurrage, and per diem charges and Complainant willfully declined to use them, OOCL's actions are *per se* reasonable.
23. Without waiving any other defenses, and for further answer, Respondents assert that any harm experienced by Complainant was as a result of its own failures, acts or omissions.
24. Complainant has failed to state a claim for which relief can be granted, including for reasons of vagueness.

25. Without waiving any other defenses, and for further answer, Respondents assert that Complainant has not suffered any actual injury or damage as a result of Respondent's alleged violations of the Shipping Act, which are denied.
26. Without waiving any other defenses, and for further answer, Respondents assert that Complainant acted as a volunteer in making payments to non-parties without determining the validity of those claims before making payment.
27. Without waiving any other defenses, and for further answer, Respondents assert that any delay in the return of empty equipment that resulted in charges to the Complainant was caused by Complainants or its agents and was the responsibility of Complainant or its agents.
28. Without waiving any other defenses, and for further answer, Respondents assert that to the extent that the Claims involve charges from entities other than OOCL, such as railroads, terminal operators, truckers, and storage facilities, OOCL cannot be held responsible.

DATED: January 13, 2026

Respectfully submitted,

/s/ Keith Letourneau

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**COUNSEL FOR RESPONDENTS
ORIENT OVERSEAS
CONTAINER LINE LIMITED
AND OOCL (EUROPE)
LIMITED**

VERIFICATION

I declare under penalty of perjury under the laws of the United States of America that the foregoing are true and correct.

Signed: *Gavin Murdoch*

Name Gavin Murdoch

Title VP - Risk & Compliance

Date January 12, 2026

CERTIFICATE OF SERVICE

I hereby certify that the foregoing pleading was provided to all counsel of record in the above-captioned action by email on this 13th Day of January 2026.

/s/ Rebecca A. Fenneman